War of 1971, the continuing threats emanating from China and Pakistan, and recognition of the limitations of dependence on a superpower. [22]

On the morning of 18 May 1974, India detonated an underground nuclear explosive device. This made India the first country after the five recognized nuclear weapon powers to conduct a test. The yield was initially given as about 12 kilotons, similar to the American bomb dropped on Hiroshima in 1945. But it has been variously estimated between four and fifteen kilotons. The consequences were rather unexpected. First, while foreign aid to India did not stop (and in fact increased), external nuclear assistance evaporated. In April 1975, the Nuclear Suppliers Group met for the first time in London, creating a cartel to plug export control loopholes of the kind that had allowed India to produce its explosive device. Second, while the prestige of India's nuclear programme and the scientists involved was enhanced, the effort to achieve a nuclear deterrent actually withered and slowed down in the years that followed. Although the explosion was successful, not enough data was derived, and setbacks in the running of various reactors were only accelerated by the withdrawal of external support. [23] After the PNE, for international, technical and political reasons, India's nuclear weapons programme effectively slowed down.

For over a decade, a potential Indian test had been couched in peaceful terms, both for domestic and international audiences, even if it made little practical difference. In private budgetary discussions after the test in January 1975, the Defence Ministry said that nuclear weapons played 'no part in our defence preparedness which is based entirely on conventional weapons'. [24] Postponing a test might also have widened the gap with China, and there were already concerns about Pakistan's nuclear ambitions. Alternatively, could India have tested prior to the advent of the NPT in 1967, and thus become a formal nuclear weapon state? India may have had sufficient weapons-grade fissile material for a bomb by 1967, but it lacked other necessary elements and knowledge for an explosive device. Although India was no worse off than China economically or scientifically in the 1960s, China's nuclear programme benefited significantly from Soviet technological assistance and a focused, authoritarian regime.